

VSE CORP VSEC

May 30, 2026 - 6:01pm EST

by

BookWithLegs

2026 2027

Price:	185.00	EPS	6.53	8.67
Shares Out. (in M):	28	P/E	28.4	21.3
Market Cap (in \$M):	5,287	P/FCF	0	0
Net Debt (in \$M):	787	EBIT	0	0
TEV (in \$M):	6,313	TEV/EBIT	0	0

Description

VSE Corporation (VSEC) Recommendation: BUY

Current Price: \$185

Est. Fair Value: \$246 (33% upside)

Market Cap: \$5.3bn

Enterprise Value: \$6.3bn

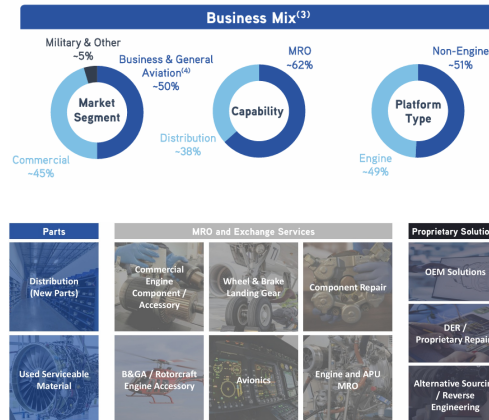
EV / EBITDA (2026E): 20x

EV / EBITDA (2027E): 15x

Overview & Core Thesis

VSE Corporation (VSEC) is a highly compelling, pure-play investment opportunity within the structurally attractive aviation aftermarket industry. Following the successful divestitures of its legacy Federal and Defense segment in February 2024 and its Fleet segment in April 2025, VSEC is now completely unbundled from its lower-margin, capital-intensive heritage businesses.

Today, VSEC is a focused, high-margin aviation distribution and maintenance, repair, and overhaul (MRO) specialist. A recent ~20% correction in the share price driven by macro-level global recession fears and an overblown anxiety regarding elevated fuel prices presents an exceptional buying opportunity for long-term investors. At the current price of \$185, the market is effectively valuing VSEC's business today at its standalone value. Investors are getting a high-quality, 6-8% organic growth business at fair value, while getting a proven, highly accretive M&A roll-up engine entirely for free.



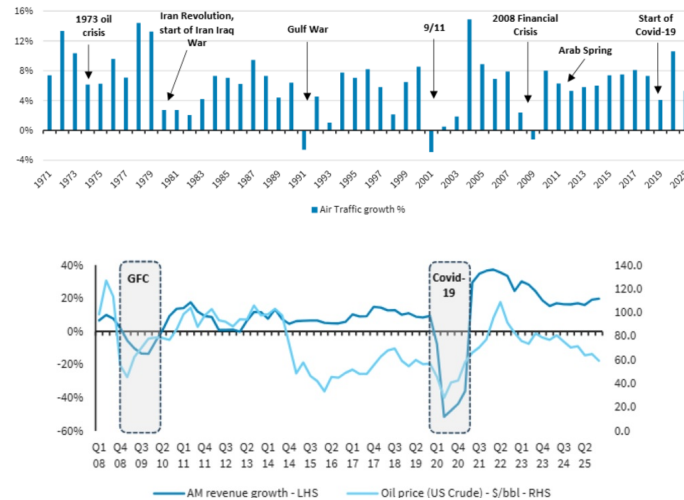
The long thesis rests on three pillars:

- Continued secular and cyclical tailwinds** in the aviation aftermarket, driven by chronic OEM production backlogs and an aging commercial and business aircraft fleet.
- Substantial (and sustainable) margin expansion** from cross-selling synergies, in-sourcing, and moving up the intellectual property value chain, exemplified by the Precision Aviation Group (PAG) transaction and the Honeywell fuel controls and Pratt & Whitney Canada relationships. I would characterize VSEC's strategy as OEM partner rather than profiteer, historically the playbook for HEICO and their PMA business and TransDigm's strategy to monopolize parts and components.
- A compelling capital allocation history and disciplined future rollup optionality** led by CEO John Cuomo and CFO Adam Cohn. Cuomo led 18 deals while at KLX, prior to that business' sale to Boeing in 2018. Cohn executed over 20 deals while at Triumph as Treasurer and VP of M&A, prior to that business' sale to private equity. He also spent time as an aerospace banker at Lazard.

Point 1: Structurally Attractive Industry Driven by an Aging Fleet Cycle

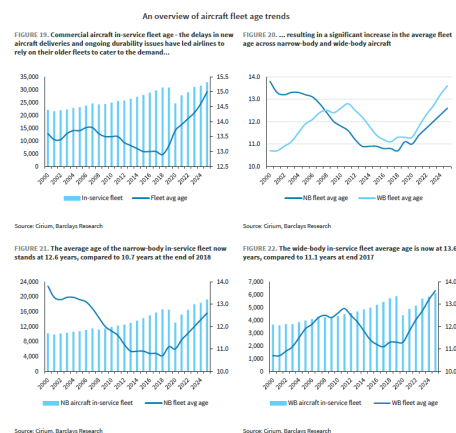
The aviation aftermarket is one of the most structurally defensive and high-returning industries in the world. It benefits from strict regulatory barriers to entry, highly specialized technical expertise, and deeply entrenched OEM relationships. The sheer complexity of aircraft (a Boeing 747 requires over 6 million individual parts, as one example) creates a highly fragmented, mission-critical ecosystem where component availability and turn times are more important than absolute price.

VSEC's business model is insulated from economic downturns because approximately 60–65% of its revenue is driven by "break-fix" demand, with the remainder coming from scheduled regulatory maintenance. Aircraft must fly, and when they do, parts break and require repair or replacement regardless of geopolitical noise. Furthermore, historical data indicates that aerospace aftermarket revenue has no correlation to oil or fuel prices; short-term fears surrounding regional conflicts do not alter long-term fleet maintenance schedules. Outside of the COVID-impacted period, air traffic growth has never declined in back to back years:



Source: Barclays.

Recent years have been a golden age for aftermarket providers. Persistent production backlogs, supply chain bottlenecks, and engineering issues at primary manufacturers (e.g. Boeing, Airbus, Bombardier, Gulfstream) have severely constrained new aircraft deliveries. As a result, commercial and business fleets are experiencing a significant increase in average age. Older aircraft require significantly more high-margin component replacement and frequent MRO activity.



One element of the bear case here is essentially that OEMs will figure out how to increase production levels, thus easing the backlog and allowing for more aircraft retirements. Just this week the FAA allowed Boeing to increase production of 737s from 42 a month to 47, and BA hopes to be at 52 a month by early next year. While helpful, I would note that the current 737 backlog stands at 4,830, i.e. almost 8 years of production even at the higher 52 a month level.

Additionally, VSEC focuses heavily on the Business & General Aviation (BGA) end market at ~50% of revenue, which in my opinion is structurally superior to pure commercial aviation. The BGA customer base is highly fragmented, and corporate procurement departments are far less price-sensitive and sophisticated than global commercial airlines. In BGA, the absolute priority is minimizing aircraft-on-ground (AOG) time. VSEC's broad distribution network allows it to command excellent pricing power because it delivers speed, availability, and

uptime to a fragmented customer base that values immediate execution.

Point 2: The Transformative PAG Acquisition & Margin Expansion Playbook

VSEC's acquisition of Precision Aviation Group (PAG) marks a step change for VSEC's scale and capability. Purchased for an upfront consideration of \$2.025 billion (\$1.75 billion in cash and \$275 million in equity, plus an earnout up to \$125 million), the transaction was struck at an attractive and accretive multiple of 13.5x trailing adjusted EBITDA, including very conservative disclosed synergies of \$15 million. PAG should be the major driver of VSEC moving from a \$1.1bn revenue business in 2025 to north of \$2bn by 2027.

PAG brings immediate scale and highly diversified engine and auxiliary power unit (APU) exposure, accounting for roughly one-third of its revenue. This is meaningful as the engine is the most valuable and arguably "most mission-critical" part(s). If management executes successfully and extracts a more realistic \$25 million in synergies on PAG's 2025 \$615 million revenue base, the entry multiple drops to a highly favorable ~12.7x.

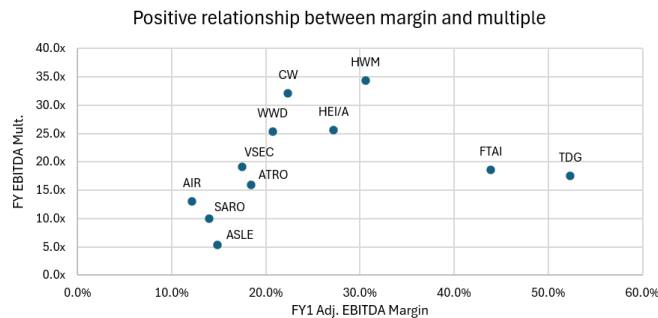
PAG revenue/platform exposure:

Diversified Across Four Complementary Business Units			
Component Services	Engine Services	Avionics Services	Proprietary Solutions
- Wheels & Brakes - Hydraulics - Pneumatics - Starter generators - Landing gear	- Full engine testing and overhaul - Engine subcomponent repair and overhaul	- Comprehensive avionics accessory repair - Engine / flight-control systems, navigation, comms, and radar	- Structural parts, circuit boards, subassemblies - DER repair, reverse engineering, and in-house manufacturing
Model	Type	Primary OEM	Market Segment
RR 250	Turboshaft	Bell / MD / Sikorsky	Light Heli / General Aviation
PT6	Turboprop	Beech / Pilatus / Cessna	BGA / Utility / Ag
131-9A	APU	Airbus	Narrowbody Commercial
331 Series	APU	Boeing / Airbus	Widebody / Medium-haul

The combination of VSEC and PAG transforms the organization from a transactional order-taker (core of VSEC's distribution business prior to the deal) into a high-value consultative partner that's more capable of delivering comprehensive solutions (new parts, used parts, and repair capabilities). This scale should shift VSEC up the margin value chain. Management has guided to achieving 20%+ EBITDA margins by the second half of 2027, up significantly from the 16.4% posted in FY25.

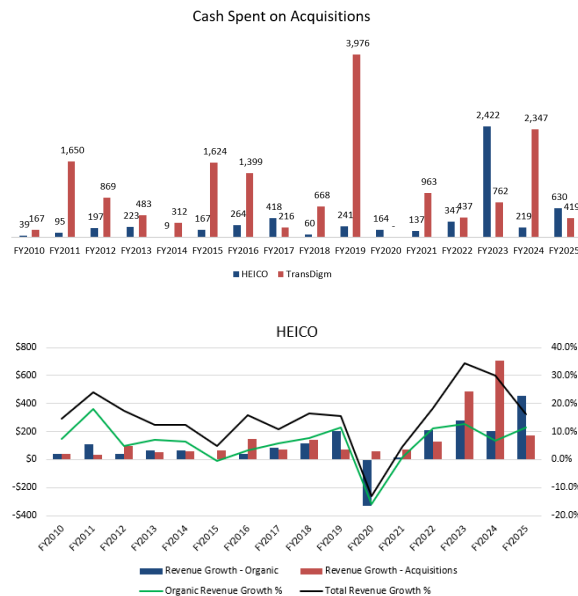
To see why this margin target is highly achievable, one only has to look at VSEC's successful 2023 acquisition of the Honeywell Fuel Control Systems program. VSEC paid \$105 million to license older Honeywell IP, giving them the exclusive right to manufacture, repair, and distribute specific fuel control systems. By taking over legacy product lines that OEMs no longer want to focus capital on, VSEC captures lucrative manufacturer-level margins and controls pricing, creating a win-win scenario for VSEC and the OEM.

There's generally a positive relationship between multiples and margin levels in the sector, which should benefit VSEC's share price over time:



Point 3: Capital Allocation (M&A) Opportunity

HEICO and TransDigm offer playbooks for long-term, accretive M&A in this space. The magic really happens when you can combine organic growth and layer on acquisitions to a platform with more scale and resources – airlines and OEMs want to work with reliable and capable partners. A good platform rollup can acquire smaller competitors at reasonable valuations, then ratchet down the effective price paid by turbocharging organic growth of the asset and driving higher margin through better terms with suppliers and customers.



There's somewhat early evidence of VSEC doing exactly this. They acquired Kellstrom Aerospace in Dec. 2024 for \$200 million at a 10x trailing EBITDA multiple (excluding synergies). Since then, they've taken margins from ~11% to ~17%, with potential upside remaining from there, putting the effective multiple likely in the 5-6x range assuming organic growth in line with the VSEC reported figures from 2025.

There are literally thousands of potential targets for them to go after: there are ~5,000 active FAA Part 145 repair shops worldwide. Obviously not all of these are attractive in terms of size/capabilities/margins, but VSEC has a virtually endless runway to deploy capital into fragmented Tier 2 and Tier 3 aviation distributors and MRO shops. I assume that VSEC can deploy 3-4% of their market cap annually on M&A at a 12x EBITDA multiple. For the medium-term, this is \$2-300 million of capital deployed annually at immediately accretive multiples.

Valuation & Asymmetric Risk/Reward

Excluding the M&A opportunity, I assume that VSEC can grow organically at 6% for products (distribution) and 7-8% for services (repair). I generally think about this as 2-3pts of pricing, 2-3pts market/volume growth, and the remainder coming from share gains. This is conservative relative to their recent history.

This level of organic growth, with adj. EBITDA margins stepping up slightly above their guided >20%, and assuming zero capital deployed on future M&A, produces a stock fair value of ~\$180, effectively in-line with the current price.

The real upside comes from M&A optionality - both deals that VSEC will continue executing and integrating as well as a potential takeout from larger aerospace companies once VSEC management feels the business is sufficiently scaled. M&A modeled with my assumptions listed above generates an additional ~\$66/share of value, putting estimated fair value at \$246 or +33% from today's levels.

In a bull case where they can deploy a higher level of capital to M&A - 4-5% of their market cap annually - fair value shifts up to \$340 or +84% from today. This is not fully unreasonable as both HEICO and TDG were able to deploy this level of capital or more on avg. when they were VSEC's size. But, I think they have some work to do integrating PAG before stepping up M&A to this level.

In a downside scenario I model lower capital deployed for M&A at a 13-14x multiple (instead of 12x) and assume only 5% organic growth. This generates fair value of ~\$150 or -20% vs. today.

I do not hold a position with the issuer such as employment, directorship, or consultancy.

I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

Continued accretive M&A

Upside to PAG synergies vs. \$15 million provided

Takeout by larger competitor

Messages

Subject Adj ebitda margin
Entry 05/31/2026 02:50 PM
Member seb1991

Thanks for the interesting idea. Do you mind elaborating why you believe that an ebitda margin of 20% is sustainable?

Engine MRO ebitda margins are typically ~13-15%, and if that accounts for 50%, the recent margin driver was likely driven by "distribution" segment (USM). Obviously, that is a high margin (sub)segment and has benefited from the pricing tailwind of the past years. Why I fully agree that this MRO cycle will be ongoing for a few years, is maybe a 15-17% ebitda more realistically once the USM pricing tailwind normalizes?

Noting that recent adj. ebitda margin is inflated imo as it includes SBC + earn-out + M&A cost. If M&A is part of the story, it is recurring and should not be added-back.

	Three months ended December 31,			Years ended December 31,		
	2025	2024	% Change	2025	2024	% Change
Net income from continuing operations	\$ 22,296	\$ 10,406	114.3%	\$ 53,493	\$ 19,402	175.7%
Interest expense, net	1,833	6,944	(73.6)%	20,556	34,947	(41.2)%
Provision for income taxes	8,362	3,089	170.7%	15,546	4,407	252.8%
Amortization of intangible assets	6,687	5,168	29.4%	25,995	17,625	47.5%
Depreciation and other amortization	3,507	2,461	42.5%	13,198	8,187	61.2%
EBITDA	42,685	28,068	52.1%	128,788	84,568	52.3%
Acquisition, integration and restructuring costs	6,131	2,746	123.3%	(11,560)	(7,711)	49.9%
Severance costs	-	-	-%	-	58	(100.0)%
Lease abandonment and termination costs	-	100	(100.0)%	-	12,345	(100.0)%
Divestiture-related restructuring costs	25	192	(87.0)%	316	4,231	(92.5)%
Earn-out receivable fair value adjustments	-	-	-%	(29,200)	-	-%
Stock-based compensation	2,927	2,202	32.9%	(13,080)	(8,114)	61.0%
Adjusted EBITDA	\$ 51,768	\$ 33,308	55.4%	\$ 182,924	\$ 117,027	56.3%

In any case, an interesting idea giving its ~12x ev/ebitda valuation; similar to TAT or SARO. All interesting.

Subject Re: Adj ebitda margin
Entry 05/31/2026 05:06 PM
Member BookWithLegs

Appreciate the question. I think the difference between what you are saying and the VSEC potential is that the 13-15% engine MRO margins are generally for full shop visits where you have a lot of relatively low-margin labor and OEM part passthrough revenue. VSEC/PAG is more exposed to component and accessory (quicker turn) MRO work that can be higher margin vs. the bulk of the work that someone like SARO does. BGA is likely a little higher margin than the large commercial engine work as well.

Would also note that the licensing deal they did with Honeywell for their older Fuel Control Systems products (and they will do more deals like this in the future) is going to continue to be a driver of margin. VSEC is essentially now the OEM for these parts which is meaningfully higher margin than they were earning previously as the exclusive distributor.

It's a fair point on the addbacks and obviously correct in a technical sense. I typically find if they are doing attractive and accretive deals then these will get ignored. If they're not finding these, the multiple will lag anyway.

Subject Re: Re: Adj ebitda margin
Entry 05/31/2026 08:58 PM
Member Supersny

Great entry point tied to the spike in oil prices. It seems like they are sandbagging it on organic growth for this year (and probably next). Plus I think they can hit 20% margins in the next 12 months. I've done some calls on Cuomo as well. Good feedback. I think this is still early innings.

Subject Free cash flow
Entry 06/01/2026 08:55 AM
Member humkae848

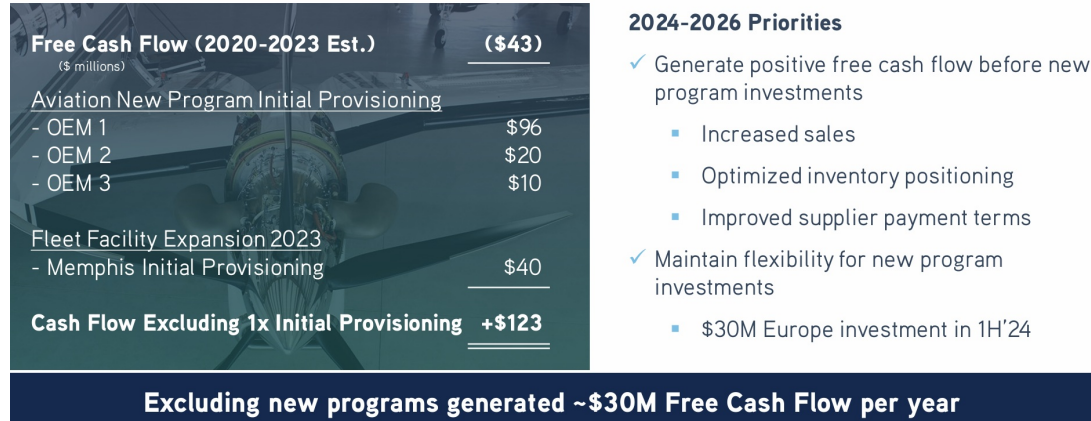
Have they ever generated meaningful amounts of free cash flow? When I look at this off and on, they are constantly in a stage of "working capital" investment. I haven't looked in recent years, but inventory turns were quite low. Have you done any work on calculating the returns on capital for all these distribution agreements?

Subject Re: Free cash flow
Entry 06/02/2026 05:01 PM
Member BookWithLegs

It's a fair point, their distribution business definitely requires a high amount of working capital. Really different distributor models, but you can look at FAST from 2002-2006. They did under \$100 million of cumulative FCF in these 5 years as revenue grew from \$905 million to \$1.8 billion. I do account for this in my DCF valuation as I'm assuming working capital improves some but remains in the high 30s % of sales.

As the mix shifts more toward MRO this will help, and they've noted PAG has higher FCF conversion. In terms of returns, they provided the slides below in their Nov 2023 investor day presentation. ROIC on 2025 numbers would be materially higher.

Core Business Driving Strong Free Cash Flow



~\$170M



2020-1H23
Investments

Investment	Type	2023 ROIC
A	Organic - Inventory	21%
B	Organic - Inventory	24%
C	Organic - Inventory	19%
D	Inorganic - M&A	20%
E	Organic - Inventory	12%
F	Inorganic - M&A	13%